

Other Types of Insurance

Do you need contact lens insurance? Air travel insurance? Rental car insurance? No, no, and probably not. Trip insurance may be worthwhile if you're going out of the country and you've prepaid large amounts, but it doesn't come cheap. Expect to pay between 3 and 7 percent of your costs in premium. For example, if your trip costs \$6,000, you'll pay between \$180 and \$420 for trip insurance. Be sure to read the fine print very carefully.



Don't buy travel insurance from your tour operator. If they go out of business, the insurance will do you no good. If you feel you need trip insurance, buy it from an independent company. You can get quotes on trip and other types of insurance online at [Insure.com](http://www.insure.com) (www.insure.com).

Umbrella Insurance

Umbrella insurance limits your liability against a wide variety of events. Think of it as extra coverage on your homeowner's and automobile policies. Umbrella insurance covers behavior that may not be covered under those policies, and it can pay for damages above and beyond the dollar limits on those policies.

For example, you may cause an auto accident and be liable for \$900,000 of medical expenses. If your auto insurance policy only covers \$300,000, you're on the hook for the next \$600,000. If you can't write a check for \$600,000, the person you owe can go after your home and other personal assets. Of course, the legal fees involved would be significant as well.

Umbrella insurance may protect you in the scenario above. If you have a \$1 million umbrella policy, you would most likely be covered. Your auto